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Another *Straight Talk* column, which appeared in December 2004, this time pointing out the difficulties with a clever proposal to declare debt taken on by unpleasant regimes unpayable.

Odious or Just Malodorous?

Something terribly wrong happens when debt is incurred by a sovereign government that does not have good claim to represent the will of the people of the country, and its proceeds are not used for their benefit. Take the case of South Africa under the apartheid regime, which borrowed, in part, to finance a military machine that was used to repress the majority African population. The debt thus incurred was doubly odious, for not only were the proceeds used to suppress the African majority and keep the apartheid regime in power but the suppressed also eventually ended up being responsible for the debt repayment. The post-apartheid government accepted that responsibility. Yet, the case seems to have all the hallmarks of a situation where 'something ought to have been done' to remove the 'odious debt.'

But what should be done in such a case? One suggestion is to institute an international commission (say under the United Nations) that will determine which regimes have neither popular legitimacy, nor the interests of their people at heart. Once the commission declares the regime and its debt odious, successor regimes could be absolved, through international agreement, of having to repay the debt incurred by the odious regime. Also, creditor country laws could be altered so as to make it difficult for creditors from that country to enforce debt